

4.1.7 The distribution of income and wealth: poverty and inequality

4.1.7.1 The distribution of income and wealth

Content	Additional information
• The difference between income and wealth. • The various factors which influence the distribution of income and wealth. • The difference between equality and equity in relation to the distribution of income and wealth. • The Lorenz curve and Gini coefficient. • The likely benefits and costs of more equal and more unequal distributions.	Some knowledge of the distribution of household income and wealth in the United Kingdom is expected. Students should understand that the degree of inequality can be measured but that whether or not a given distribution of income is equitable (fair and just) involves a value judgement. Students will be expected to interpret measures of inequality such as the Gini coefficient but they will not be expected to calculate the Gini coefficient. Students should understand that excessive inequality is both a cause and consequence of market failure. They should also appreciate that value judgements will influence people's views of what constitutes an equitable distribution of income and wealth and that these views will influence policy prescriptions.

4.1.7.2 The problem of poverty

Content	Additional information
• The difference between relative and absolute poverty. • The causes and effects of poverty.	

4.1.7.3 Government policies to alleviate poverty and to influence the distribution of income and wealth

Content	Additional information
• The policies which are available to influence the distribution of income and wealth and to alleviate poverty. • The economic consequences of such policies.	Students should be able to evaluate the various approaches to redistributing income and wealth and alleviating poverty, recognising the moral and political perspectives.